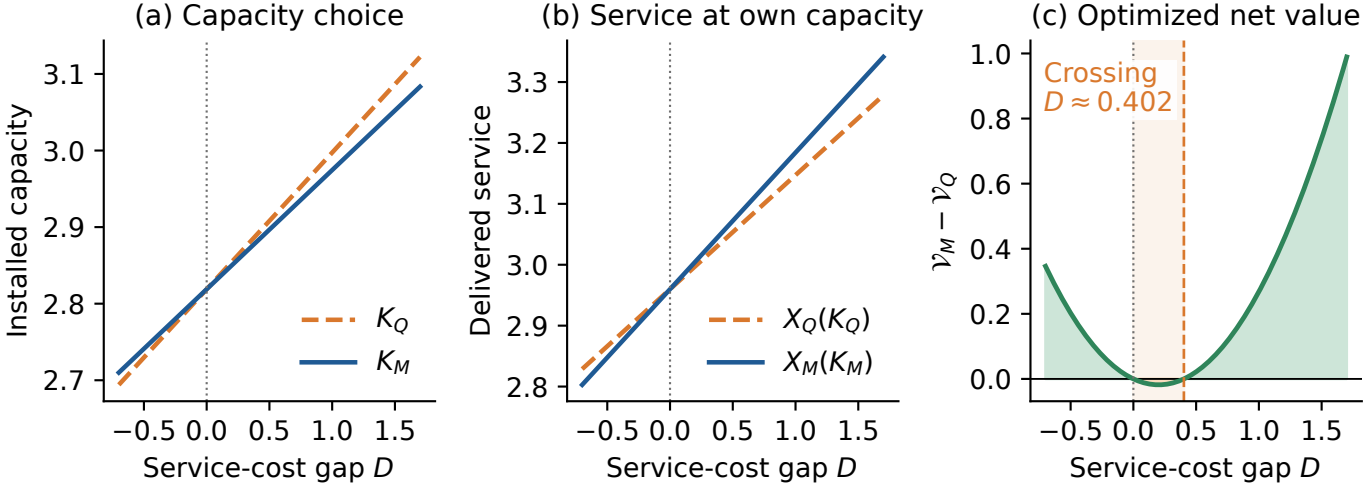
(a) Capacity choice
Installed capacity
3.1
3.0
2.9
2.8
2.7
K_Q
K_M
−0.5 0.0 0.5 1.0 1.5
Service-cost gap D
(b) Service at own capacity
Delivered service
3.3
3.2
3.1
3.0
2.9
2.8
$X_Q(K_Q)$
$X_M(K_M)$
−0.5 0.0 0.5 1.0 1.5
Service-cost gap D
(c) Optimized net value
$\mathcal{V}_M - \mathcal{V}_Q$
1.0
0.8
0.6
0.4
0.2
0.0
Crossing
$D \approx 0.402$
−0.5 0.0 0.5 1.0 1.5
Service-cost gap D